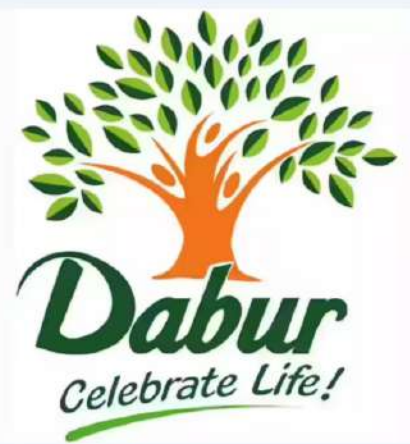




EQUITY RESEARCH REPORT 2026

DABUR INDIA LTD.



Presented By: Prajjwal Singh

Equity Research Report

DABUR INDIA LTD

Focus on international growth, Hit by urban demand



About the Company

Dabur India Limited is an Indian multinational consumer goods company founded in Kolkata in 1884 by S. K. Burman, with its headquarters in Ghaziabad. The company manufactures Ayurvedic products and fast-moving consumer goods across categories like Health Care, Hair Care, Oral Care, Skin Care, Home Care, Hygiene, and Food & Beverages, with 60% of revenue from consumer care and 11% from food. Dabur ranks 143rd in overall market capitalisation at the NSE and is among the Top 10 in the FMCG sector. It operates in over 120 markets globally, employs 5,000 to 10,000 people, and has its products in about 6.9 million retail outlets. Dabur's equity shares are listed on BSE and NSE, with around 5 lakh shareholders, 99.9% of whom hold shares in demat form.

Key Highlights

- Dabur has reported consolidated revenue of ₹13,113 crore for FY2024-25, which is a resilient performance amidst weak urban demand and inflationary pressures.
- Consolidated profit after tax (PAT) was at ₹1,740 crore, supported by strong profitability due to cost optimisation initiatives and premium product mix.
- International Business was a major growth driver, representing around 1/4th of consolidated revenue with constant currency growth in overseas markets.
- The company further strengthened its leadership position in natural healthcare by investing in Ayurveda-based products and premium personal care offerings.
- Dabur completed the acquisition of 51% stake in Sesa Care in FY2024-25, expanding its presence in the fast-growing hair care segment and strengthening its premium product portfolio.
- Rural demand saw a gradual recovery during the year, backed by improving agricultural income and increased government spending, while urban demand remains moderate.

Recommendation	SELL
CMP	426
Target Price	222.16
Stock Data	
NIFTY	23,946.25
52 Weeks H/L (INR)	577/403.35
Market Cap (INR Crs)	75,633
O/s Shares (Crs)	177.40
Dividend Yield (%)	1.94 %
NSE Code	DABUR
Stock Performance - 1Y	



Absolute Return	
1 Year	-11%
3 Year	-23.14%
5 Year	-20.77%



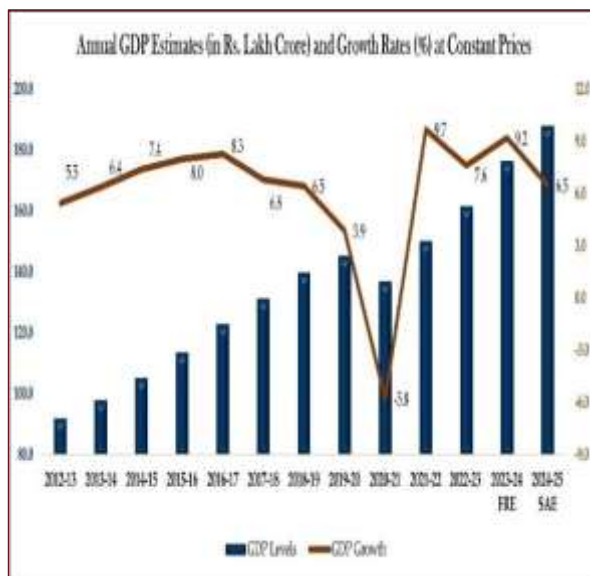
Financial Summary			
In INR CR	FY26	FY27E	FY28E
Net Revenue	13,192.6	14,047.7	14,735.1
YoY Growth	5.01%	6.48%	4.89%
EBITDA	2450.0	2598.8	2711.3
EBITDA Margin	18.57%	18.50%	18.40%
PAT	1284.0	1383.7	1466.1
YoY Growth	7.92%	7.76%	5.96%
ROE	11.56%	12.08%	12.72%
EPS	7.20	7.80	8.27

Global Economy

Despite ongoing geopolitical tensions, high interest rates and supply chain disruptions, the global economy showed resilience in 2024. The International Monetary Fund (IMF) expects global economic growth to be 3.3% in 2025 and 2026, below past averages, as productivity growth slows and policy tightening continues in a number of advanced economies. Central banks kept monetary policies restrictive, which has led to a significant cooling of inflation in major economies, creating a more stable macroeconomic environment for businesses. Risks from geopolitical conflicts, trade fragmentation and financial market volatility remain, but improving global trade, easing inflationary pressures, and gradual monetary policy normalisation should support moderate economic expansion over the medium term.



Global Growth Projections



India GDP Estimates and Growth Rate

Indian Economy

India continues to be the fastest-growing major economy in the world, propelled by robust domestic demand, sustained government capital expenditure, robust services exports and improving manufacturing activity. As per the World Bank and RBI, India's real GDP is projected to grow by around 6.3-6.7% in FY 2025-26 despite global economic headwinds. Inflation has steadily eased into the Reserve Bank of India's target range, while stable financial markets, improving infrastructure investment, and rapid digital adoption continue to reinforce long-term economic fundamentals. Rising disposable incomes, favourable demographics and increasing rural consumption should continue to support the growth in consumer-facing sectors, including FMCG.

Global FMCG Industry

The global Fast-Moving Consumer Goods (FMCG) industry continues to grow steadily, driven by population growth, urbanisation, rising disposable incomes, and growing demand for health-oriented consumer products. The global FMCG market is expected to surpass USD 18 trillion by 2031, growing at a CAGR of approximately 5%, according to industry estimates. Consumer preferences are moving more towards premium, natural and sustainable products, prompting manufacturers to invest in product innovation and digital distribution channels. E-commerce, quick commerce and direct-to-consumer (D2C) platforms are major growth drivers, while sustainability and environmentally conscious manufacturing practices remain competitive strategies shaping the global FMCG landscape.



Global FMCG Industry Growth



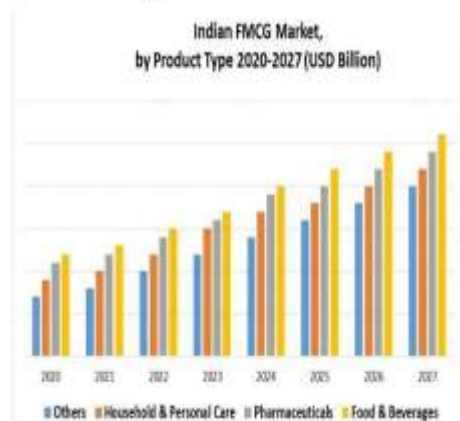
Indian FMCG Industry

The FMCG sector in India is the 4th-largest sector in the economy and one of the fastest-growing, consumption-driven sectors. Driven by rising disposable incomes, increasing urbanisation, expanding rural demand, favourable demographics, and rapid digital commerce adoption. According to IBEF, the Indian FMCG market is expected to reach USD 615 billion by 2027, driven by growing consumer spending and premiumisation across product categories. E-commerce and quick-commerce platforms are changing buying behaviour, while government initiatives, better rural infrastructure and higher household incomes continue to drive long-term demand. Household FMCG spending in India rose 8% to Rs. 17,792 crore (US\$ 2.07 billion) by April 2025 and is expected to increase further to around Rs. 20,000 crore (US\$ 2.27 billion) by the end of 2025, driven by higher consumption across staples as well as non-staples.

Indian FMCG Industry Growth Trajectory



In 2023, e-commerce accounted for 8% of total FMCG sales, a figure expected to rise to 15% by 2025



Digital transformation is reshaping consumption. India has 1,002.85 million internet subscribers as of April–June 2025, with rural penetration at 46 per 100 people, creating opportunities for satellite internet, digital inclusion, and e-commerce growth. E-commerce accounted for 17% of FMCG consumption among affluent buyers in 2024, with average spends of Rs. 5,620. India's e-commerce industry, valued at Rs. 10,82,875 crore (US\$ 125 billion) in FY24, is expected to grow to Rs. 29,88,735 crore (US\$ 345 billion) by FY30 at a 18.4% CAGR. Operating across 80 cities, India is the first market globally to scale quick commerce, which has delivered a 50–100% increase in sales for FMCG companies in FY25. Digital payments, which reached US\$300 billion in 2021, are projected to reach US\$1 trillion by 2026.

Corporate Governance Analysis

Key Managerial Personnel (KMP)

Name	Designation	Brief Profile	Commentary
Mr. Pritam Das Narang	Whole-time Director	Associated with Dabur for over three decades, Mr. Narang oversees corporate affairs, legal and strategic functions. He has been instrumental in strengthening governance practices, regulatory compliance and corporate strategy across the organisation.	His deep institutional knowledge and governance expertise ensure effective policy implementation and support the Company's long-term strategic objectives.
Mr. Mohit Malhotra	Whole-time Director & Chief Executive Officer	Mr. Malhotra has over 30 years of experience in the FMCG industry and has led Dabur since 2019. Under his leadership, the Company has focused on premiumisation, digital transformation, international expansion and innovation-driven growth.	His strong operational and strategic leadership has enhanced Dabur's competitive position while maintaining sustainable and profitable growth.

DABUR INDIA LTD



Mr. Ankush Jain	Chief Financial Officer	Mr. Jain is responsible for finance, treasury, taxation, investor relations, financial planning and capital allocation. He also plays an important role in enterprise risk management and business planning.	His financial discipline and expertise contribute to efficient capital utilisation, robust internal controls and long-term shareholder value creation.
Mr. Ashok Kumar Jain	Executive Vice President (Finance), Group Company Secretary & Chief Compliance Officer	Mr. Jain oversees finance, secretarial, governance and compliance functions across the Dabur Group. During FY2024-25, he was designated as Chief Compliance Officer in addition to his existing responsibilities.	His combined expertise in finance and corporate governance strengthens regulatory compliance and reinforces transparency and investor confidence.
Mr. Saket Gupta	Company Secretary	Appointed as Company Secretary with effect from 2 August 2024, he is responsible for Board coordination, secretarial compliance and implementation of SEBI and Companies Act requirements.	His role supports effective Board functioning and ensures timely compliance with evolving corporate governance requirements.

Board of Directors

Name	Designation	Brief Profile	Commentary
Mr. Mohit Burman	Chairman (Non-Executive Promoter Director)	Chairman of Dabur India Limited and member of the promoter family. He has played a key role in shaping the Company's long-term strategy, international expansion and diversification into health and wellness businesses.	His strategic vision and industry experience provide continuity in leadership and strengthen long-term value creation.
Mr. Amit Burman	Non-Executive Promoter Director	Represents the promoter family and contributes to the Company's strategic direction through extensive experience in consumer products.	His entrepreneurial insight supports Dabur's long-term business development.
Mr. Saket Burman	Vice Chairman & Non-Executive Promoter Director	Actively involved in the strategic development of the Dabur Group with a focus on innovation, sustainability and international business expansion.	His global business perspective contributes to the Company's future-ready growth strategy.
Mr. Aditya Chand Burman	Non-Executive Promoter Director	Represents the next generation of leadership and contributes to strategic initiatives relating to business transformation and innovation.	His modern business outlook complements Dabur's focus on innovation and sustainable growth.

Mr. Pritam Das Narang	Whole-time Director	Oversees legal, regulatory and corporate affairs while supporting executive management in governance and strategic implementation.	His expertise strengthens governance standards and enhances organisational effectiveness.
Mr. Mohit Malhotra	Whole-time Director & Chief Executive Officer	Leads the Company's business operations, strategic planning and execution across domestic and international markets.	His leadership has accelerated premiumisation, digital adoption and operational excellence.
Mr. Ajit Mohan Sharan	Independent Director	Former IAS officer with extensive experience in public administration and policy formulation.	His administrative expertise strengthens governance, public policy understanding and strategic oversight.
Mr. Mukesh Hari Butani	Lead Independent Director	Distinguished legal professional with expertise in taxation, regulatory matters, mergers & acquisitions and corporate law.	His legal and regulatory experience enhances Board oversight, governance and compliance.
Mr. Rajiv Mehrishi	Independent Director	Former Comptroller & Auditor General of India and former Union Home Secretary with extensive experience in public finance and governance.	His expertise in public administration and financial accountability enhances Board effectiveness and risk oversight.

The board has 12 directors, 50% of whom are Independent Directors and are compliant with SEBI Listing Regulations. The separation of the roles of Chairman (Non-Executive) and CEO (Executive) improves governance and oversight. The Board comprises people with experience in FMCG, finance, public administration, law and corporate strategy, offering a variety of viewpoints. Independent oversight is strengthened by Lead Independent Director (Mukesh Hari Butani).

Dabur has a well-established governance structure with Board Committees, including the Audit Committee, Nomination & Remuneration Committee, Risk Management Committee, and CSR Committee. Overall, the Company's governance practices reflect high board independence, regulatory compliance and effective strategic oversight, which bodes well for long-term shareholder value.



MR. MOHIT SHARAN
CHAIRMAN



MR. AJIT SHARAN
VICE-CHAIRMAN



MR. AJIT SHARAN
NON-EXECUTIVE
DIRECTOR



MR. AJIT SHARAN
NON-EXECUTIVE
DIRECTOR



MR. P.D. NARANG
GROUP DIRECTOR -
CORPORATE AFFAIRS



MR. MUKESH BUTANI
LEAD INDEPENDENT
DIRECTOR



MR. AJIT MOHAN SHARAN
INDEPENDENT DIRECTOR



MR. MOHIT MALHOTRA
WHOLE-TIME DIRECTOR
AND CHIEF EXECUTIVE
OFFICER



MR. RAJIV MEHRISHI
INDEPENDENT DIRECTOR



MRS. RATNA KATIYA BHATIA
INDEPENDENT DIRECTOR



MR. RAMESH GUPTA
INDEPENDENT DIRECTOR



MR. RAVI KAPOOR
INDEPENDENT DIRECTOR

Historical Financial Statement - DABUR INDIA LTD											
Years	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	LTM
# Income Statement											
Sales	₹ 7,613.6	₹ 7,721.9	₹ 8,515.0	₹ 8,684.6	₹ 9,561.7	₹ 10,888.7	₹ 11,529.9	₹ 12,404.0	₹ 12,563.1	₹ 13,192.6	₹ 13,192.6
Sales Growth	-	1.42%	10.27%	1.99%	10.10%	13.88%	5.89%	7.58%	1.28%	5.01%	0.00%
COGS	₹ 4,761.7	₹ 4,815.7	₹ 5,452.0	₹ 5,517.7	₹ 6,043.4	₹ 6,994.7	₹ 7,740.2	₹ 8,014.8	₹ 8,161.8	₹ 8,199.4	₹ 10,742.5
COGS % Sales	62.54%	62.36%	64.03%	63.53%	63.20%	64.24%	67.13%	64.61%	64.97%	62.15%	81.43%
Gross Profit	₹ 2,851.9	₹ 2,906.2	₹ 3,063.0	₹ 3,166.9	₹ 3,518.3	₹ 3,894.0	₹ 3,789.7	₹ 4,389.2	₹ 4,401.3	₹ 4,993.2	₹ 2,450.0
Gross Margins	37.46%	37.64%	35.97%	36.47%	36.80%	35.76%	32.87%	35.39%	35.03%	37.85%	18.57%
Selling and General expenses	₹ 1,340.3	₹ 1,288.7	₹ 1,323.4	₹ 1,374.6	₹ 1,516.6	₹ 1,641.9	₹ 1,627.2	₹ 1,989.5	₹ 2,085.0	₹ 2,543.1	
S&G Exp % Sales	17.60%	16.69%	15.54%	15.83%	15.86%	15.08%	14.11%	16.04%	16.60%	19.28%	0.00%
EBITDA	₹ 1,511.6	₹ 1,617.4	₹ 1,739.6	₹ 1,792.3	₹ 2,001.7	₹ 2,252.0	₹ 2,162.5	₹ 2,399.7	₹ 2,316.3	₹ 2,450.0	₹ 2,450.0
EBITDA Margins	19.85%	20.95%	20.43%	20.64%	20.93%	20.68%	18.76%	19.35%	18.44%	18.57%	18.57%
Interest	₹ 54.0	₹ 53.1	₹ 59.6	₹ 49.5	₹ 30.8	₹ 38.6	₹ 78.2	₹ 124.2	₹ 163.5	₹ 145.4	₹ 145.4
Interest % Sales	0.71%	0.69%	0.70%	0.57%	0.32%	0.35%	0.68%	1.00%	1.30%	1.10%	1.10%
Depreciation	₹ 142.9	₹ 162.2	₹ 176.9	₹ 220.5	₹ 240.1	₹ 252.9	₹ 311.0	₹ 399.2	₹ 445.6	₹ 468.9	₹ 468.9
Depreciation % Sales	1.88%	2.10%	2.08%	2.54%	2.51%	2.32%	2.70%	3.22%	3.55%	3.55%	3.55%
Earnings Before Tax [EBT]	₹ 1,314.7	₹ 1,402.2	₹ 1,503.1	₹ 1,522.4	₹ 1,730.7	₹ 1,960.5	₹ 1,773.3	₹ 1,876.3	₹ 1,707.2	₹ 1,835.7	₹ 1,835.7
EBT % Sales	17.27%	18.16%	17.65%	17.53%	18.10%	18.01%	15.38%	15.13%	13.59%	13.91%	13.91%
Tax	₹ 330.3	₹ 335.4	₹ 278.6	₹ 279.7	₹ 361.1	₹ 526.4	₹ 517.4	₹ 547.4	₹ 517.5	₹ 551.7	₹ 551.7
Effective Tax Rate	25.13%	23.92%	18.54%	18.37%	20.86%	26.85%	29.17%	29.18%	30.31%	30.06%	30.06%
Net Profit	₹ 984.4	₹ 1,066.9	₹ 1,224.5	₹ 1,242.6	₹ 1,369.7	₹ 1,434.1	₹ 1,255.9	₹ 1,328.9	₹ 1,189.8	₹ 1,284.0	₹ 1,284.0
Net Margins	12.93%	13.82%	14.38%	14.31%	14.32%	13.17%	10.89%	10.71%	9.47%	9.73%	9.73%
No of Equity Shares	176.15	176.15	176.63	176.71	176.74	176.79	177.18	177.2	177.23	177.37	177.37
Earnings Per Share	₹ 5.6	₹ 6.1	₹ 6.9	₹ 7.0	₹ 7.7	₹ 8.1	₹ 7.1	₹ 7.5	₹ 6.7	₹ 7.2	₹ 7.2
EPS Growth %		8.38%	14.46%	1.44%	10.20%	4.68%	-12.62%	5.80%	-10.48%	7.83%	0.00%
Dividend Per Share	₹ 2.3	₹ 6.3	₹ 2.7	₹ 3.0	₹ 4.8	₹ 5.2	₹ 5.2	₹ 5.5	₹ 8.0	₹ 8.2	-
Dividend Payout Ratio	40.26%	103.19%	39.67%	42.66%	61.29%	64.10%	73.36%	73.34%	119.17%	113.97%	0.00%
Retained Earnings	59.74%	0.00%	60.33%	57.34%	38.71%	35.90%	26.64%	26.66%	0.00%	0.00%	100.00%

Balance Sheet										
Equity Share Capital	₹ 176.2	₹ 176.2	₹ 176.6	₹ 176.7	₹ 176.7	₹ 176.8	₹ 177.2	₹ 177.2	₹ 177.2	₹ 177.4
Reserves	₹ 4,671.2	₹ 5,530.4	₹ 5,455.1	₹ 6,429.0	₹ 7,486.8	₹ 8,204.5	₹ 8,796.1	₹ 9,689.1	₹ 10,623.5	₹ 11,242.2
Borrowings	₹ 975.0	₹ 937.6	₹ 699.4	₹ 522.0	₹ 509.1	₹ 1,030.1	₹ 1,173.8	₹ 1,365.1	₹ 950.4	₹ 1,287.3
Other Liabilities	₹ 1,909.9	₹ 2,057.5	₹ 2,105.6	₹ 2,208.8	₹ 2,660.6	₹ 2,872.5	₹ 3,505.2	₹ 3,885.0	₹ 4,478.7	₹ 4,773.1
Total Liabilities	₹ 7,732.2	₹ 8,701.6	₹ 8,436.6	₹ 9,336.6	₹ 10,833.2	₹ 12,283.9	₹ 13,652.3	₹ 15,116.4	₹ 16,229.8	₹ 17,479.9
Fixed Assets Net Block	₹ 1,958.4	₹ 2,028.1	₹ 1,969.1	₹ 2,252.7	₹ 2,242.9	₹ 2,307.9	₹ 3,578.7	₹ 3,815.0	₹ 3,989.7	₹ 3,938.9
Capital Work in Progress	₹ 42.1	₹ 41.5	₹ 63.8	₹ 146.6	₹ 147.3	₹ 167.5	₹ 175.1	₹ 232.2	₹ 169.0	₹ 137.5
Investments	₹ 3,240.2	₹ 3,805.2	₹ 3,358.8	₹ 2,800.3	₹ 4,159.6	₹ 6,219.6	₹ 6,265.3	₹ 6,932.7	₹ 7,467.9	₹ 8,947.3
Other Assets	₹ 429.6	₹ 558.5	₹ 582.8	₹ 1,132.2	₹ 658.5	₹ 461.2	₹ 434.4	₹ 624.4	₹ 836.6	₹ 857.1
Total Non-Current Assets	₹ 5,670.3	₹ 6,433.3	₹ 5,974.4	₹ 6,331.8	₹ 7,208.3	₹ 9,156.2	₹ 10,453.4	₹ 11,604.3	₹ 12,463.1	₹ 13,880.8
Receivables	₹ 650.4	₹ 706.1	₹ 833.6	₹ 813.9	₹ 561.6	₹ 646.2	₹ 848.8	₹ 898.7	₹ 888.5	₹ 715.4
Inventory	₹ 1,106.7	₹ 1,256.2	₹ 1,300.5	₹ 1,379.6	₹ 1,734.3	₹ 1,911.4	₹ 2,024.2	₹ 1,947.0	₹ 2,300.1	₹ 2,321.6
Cash & Bank	₹ 304.8	₹ 306.1	₹ 328.2	₹ 811.4	₹ 1,329.0	₹ 570.1	₹ 325.9	₹ 666.4	₹ 578.0	₹ 562.1
Total Current Assets	₹ 2,061.9	₹ 2,268.3	₹ 2,462.3	₹ 3,004.8	₹ 3,624.9	₹ 3,127.7	₹ 3,198.9	₹ 3,512.1	₹ 3,766.6	₹ 3,599.1
Total Assets	₹ 7,732.2	₹ 8,701.6	₹ 8,436.6	₹ 9,336.6	₹ 10,833.2	₹ 12,283.9	₹ 13,652.3	₹ 15,116.4	₹ 16,229.8	₹ 17,479.9
Cash Flow Statement										
Operating Activities										
Profit from operations	₹ 1,462.0	₹ 1,678.0	₹ 1,868.0	₹ 1,981.0	₹ 2,048.0	₹ 2,287.0	₹ 2,143.0	₹ 2,406.0	₹ 2,402.0	₹ 2,648.0
Receivables	₹ 115.0	(₹ 60.0)	(₹ 130.0)	₹ 14.0	₹ 248.0	(₹ 78.0)	(₹ 191.0)	(₹ 55.0)	₹ 12.0	₹ 177.0
Inventory	(₹ 10.0)	(₹ 149.0)	(₹ 44.0)	(₹ 79.0)	(₹ 355.0)	(₹ 177.0)	(₹ 96.0)	₹ 77.0	(₹ 353.0)	(₹ 22.0)
Payables	(₹ 16.0)	₹ 86.0	₹ 45.0	₹ 26.0	₹ 434.0	₹ 108.0	₹ 141.0	₹ 217.0	₹ 407.0	₹ 128.0
Other WC items	(₹ 1.0)	(₹ 138.0)	₹ 111.0	(₹ 19.0)	₹ 62.0	₹ 51.0	(₹ 15.0)	(₹ 137.0)	(₹ 77.0)	₹ 47.0
Working capital changes	₹ 87.0	(₹ 262.0)	(₹ 18.0)	(₹ 58.0)	₹ 388.0	(₹ 97.0)	(₹ 160.0)	₹ 101.0	(₹ 11.0)	₹ 330.0
Direct taxes	(₹ 322.0)	(₹ 325.0)	(₹ 351.0)	(₹ 309.0)	(₹ 321.0)	(₹ 388.0)	(₹ 494.0)	(₹ 494.0)	(₹ 405.0)	(₹ 399.0)
Cash from Operating Activities	₹ 1,315.0	₹ 830.0	₹ 1,481.0	₹ 1,556.0	₹ 2,504.0	₹ 1,706.0	₹ 1,328.0	₹ 2,115.0	₹ 1,975.0	₹ 2,909.0
Investing Activities										
Fixed assets purchased	(₹ 490.0)	(₹ 207.0)	(₹ 234.0)	(₹ 417.0)	(₹ 311.0)	(₹ 374.0)	(₹ 509.0)	(₹ 564.0)	(₹ 570.0)	(₹ 420.0)
Fixed assets sold	₹ 4.0	₹ 7.0	₹ 9.0	₹ 17.0	₹ 5.0	₹ 5.0	₹ 23.0	₹ 3.0	₹ 30.0	₹ 21.0
Investments purchased	(₹ 9,111.0)	(₹ 9,001.0)	(₹ 5,393.0)	(₹ 8,479.0)	(₹ 7,635.0)	(₹ 7,507.0)	(₹ 4,177.0)	(₹ 5,142.0)	(₹ 6,188.0)	-
Investments sold	₹ 8,600.0	₹ 8,418.0	₹ 5,710.0	₹ 8,114.0	₹ 6,274.0	₹ 6,234.0	₹ 4,164.0	₹ 4,344.0	₹ 5,879.0	-
Interest received	₹ 190.0	₹ 244.0	₹ 244.0	₹ 248.0	₹ 262.0	₹ 367.0	₹ 394.0	₹ 387.0	₹ 399.0	₹ 299.0
Invest in subsidiaries	-	-	-	-	-	-	(₹ 481.0)	-	-	-
Other investing items	-	(₹ 1.0)	₹ 1.0	-	₹ 2.0	₹ 2.0	₹ 4.0	₹ 1.0	₹ 1.0	(₹ 1,185.0)
Cash from Investing Activities	(₹ 807.0)	(₹ 540.0)	₹ 337.0	(₹ 517.0)	(₹ 1,403.0)	(₹ 1,273.0)	(₹ 582.0)	(₹ 971.0)	(₹ 449.0)	(₹ 1,285.0)
Financing Activities										
Proceeds from shares	₹ 15.0	-	-	-	-	-	-	-	-	-
Proceeds from borrowings	₹ 168.0	₹ 4.0	₹ 32.0	-	₹ 65.0	₹ 541.0	₹ 935.0	₹ 631.0	₹ 638.0	₹ 957.0
Repayment of borrowings	-	(₹ 62.0)	(₹ 272.0)	(₹ 358.0)	(₹ 28.0)	-	(₹ 886.0)	(₹ 678.0)	(₹ 855.0)	(₹ 578.0)
Interest paid fin	(₹ 45.0)	(₹ 43.0)	(₹ 52.0)	(₹ 42.0)	(₹ 31.0)	(₹ 33.0)	(₹ 89.0)	(₹ 119.0)	(₹ 180.0)	(₹ 156.0)
Dividends paid	(₹ 396.0)	(₹ 396.0)	(₹ 1,325.0)	(₹ 512.0)	(₹ 592.0)	(₹ 972.0)	(₹ 921.0)	(₹ 966.0)	(₹ 975.0)	(₹ 1,419.0)
Financial liabilities	-	-	-	(₹ 25.0)	(₹ 28.0)	(₹ 26.0)	(₹ 25.0)	(₹ 29.0)	(₹ 34.0)	(₹ 39.0)
Other financing items	(₹ 81.0)	(₹ 81.0)	(₹ 272.0)	(₹ 105.0)	-	-	(₹ 49.0)	-	-	-
Net Cash Flow	₹ 81.0	(₹ 27.0)	(₹ 51.0)	₹ 54.0	₹ 97.0	₹ 38.0	(₹ 130.0)	(₹ 119.0)	₹ 133.0	₹ 58.0
Cash from Financing Activities	(₹ 258.0)	(₹ 605.0)	(₹ 1,940.0)	(₹ 988.0)	(₹ 517.0)	(₹ 452.0)	(₹ 1,165.0)	(₹ 1,280.0)	(₹ 1,273.0)	(₹ 1,177.0)
Net Cash Flow	₹ 250.0	(₹ 315.0)	(₹ 122.0)	₹ 51.0	₹ 584.0	(₹ 19.0)	(₹ 419.0)	(₹ 136.0)	₹ 253.0	₹ 447.0

Forecasting Growths – Dabur India Ltd

DABUR INDIA LTD - Sales Forecasting

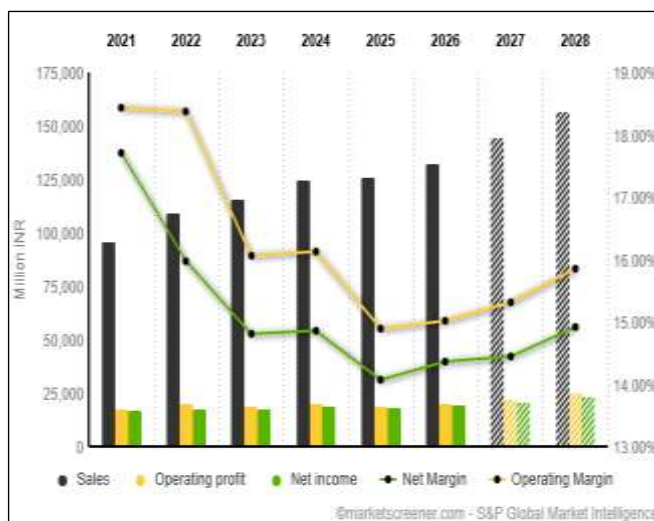
Year Weight	Year	Sales	Sales Growth
1	2017A	7,613.6	
2	2018A	7,721.9	1.42%
3	2019A	8,515.0	10.27%
4	2020A	8,684.6	1.99%
5	2021A	9,561.7	10.10%
6	2022A	10,888.7	13.88%
7	2023A	11,529.9	5.89%
8	2024A	12,404.0	7.58%
9	2025A	12,563.1	1.28%
10	2026A	13,192.6	5.01%
11	2027E	14,047.7	6.48%
12	2028E	14,735.1	4.89%
13	2029E	15,422.4	4.66%
14	2030E	16,109.7	4.46%
15	2031E	16,797.0	4.27%
16	2032E	17,484.3	4.09%
17	2033E	18,171.6	3.93%

DABUR INDIA LTD - EBITDA Forecasting

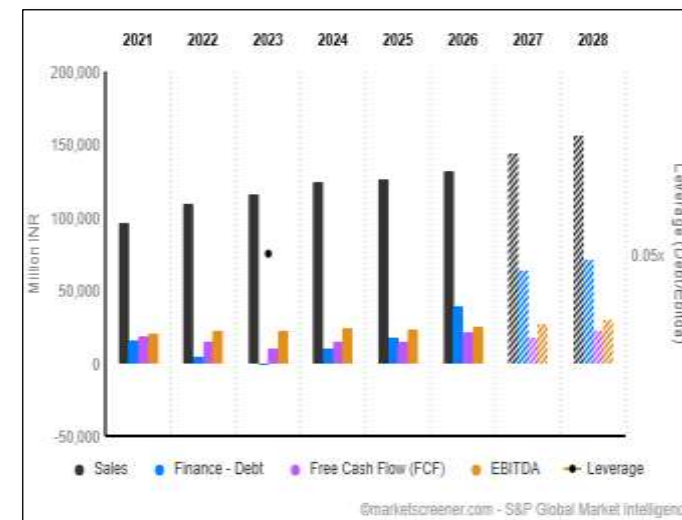
Year Weight	Year	EBITDA	EBITDA Growth
1	2017A	1,511.6	
2	2018A	1,617.4	7.00%
3	2019A	1,739.6	7.55%
4	2020A	1,792.3	3.03%
5	2021A	2,001.7	11.68%
6	2022A	2,252.0	12.51%
7	2023A	2,162.5	-3.98%
8	2024A	2,399.7	10.97%
9	2025A	2,316.3	-3.47%
10	2026A	2,450.0	5.77%
11	2027E	2,624.3	7.11%
12	2028E	2,733.4	4.16%
13	2029E	2,842.5	3.99%
14	2030E	2,951.6	3.84%
15	2031E	3,060.7	3.70%
16	2032E	3,169.8	3.56%
17	2033E	3,278.9	3.44%

DABUR INDIA LTD - Earnings Per Share Forecasting

Year Weight	Year	EPS	EPS Growth
1	2017A	1,314.7	
2	2018A	1,402.2	6.65%
3	2019A	1,503.1	7.19%
4	2020A	1,522.4	1.28%
5	2021A	1,730.7	13.69%
6	2022A	1,960.5	13.28%
7	2023A	1,773.3	-9.55%
8	2024A	1,876.3	5.81%
9	2025A	1,707.2	-9.01%
10	2026A	1,835.7	7.53%
11	2027E	1,985.1	8.14%
12	2028E	2,043.7	2.95%
13	2029E	2,102.3	2.87%
14	2030E	2,160.9	2.79%
15	2031E	2,219.5	2.71%
16	2032E	2,278.2	2.64%
17	2033E	2,336.8	2.57%



Dabur India Ltd.'s financial projections indicate 5.0% revenue growth, from ₹12,563 crore in FY2025 to ₹13,193 crore in FY2026. This growth is driven by stable operating margins, product premiumisation, international expansion, and improved domestic consumption. EBITDA and net profit are also expected to rise in line with revenue, supported by disciplined cost management and efficient capital utilisation, which together sustain cash flow and long-term value creation.



Years	Ratio Analysis - DABUR INDIA LTD										Trend	Mean	Median
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26			
Sales Growth		1.42%	10.27%	1.99%	10.10%	13.88%	5.89%	7.58%	1.28%	5.01%		6.38%	5.89%
EBITDA Growth		7.00%	7.55%	3.03%	11.68%	12.51%	-3.98%	10.97%	-3.47%	5.77%		5.67%	7.00%
EBT Growth		6.65%	7.19%	1.28%	13.69%	13.28%	-9.55%	5.81%	-9.01%	7.53%		4.10%	6.65%
Net Profit Growth		8.38%	14.77%	1.48%	10.22%	4.71%	-12.43%	5.81%	-10.47%	7.92%		3.38%	5.81%
Dividend Growth		177.78%	-56.00%	9.09%	58.33%	9.47%	0.00%	5.77%	45.45%	3.12%		28.11%	9.09%
Gross Margin	37.46%	37.64%	35.97%	36.47%	36.80%	35.76%	32.87%	35.39%	35.03%	37.85%		36.12%	36.22%
EBITDA Margin	19.85%	20.95%	20.43%	20.64%	20.93%	20.68%	18.76%	19.35%	18.44%	18.57%		19.86%	20.14%
EBIT Margin	17.98%	18.85%	18.35%	18.10%	18.42%	18.36%	16.06%	16.13%	14.89%	15.02%		17.22%	18.04%
EBT Margin	17.27%	18.16%	17.65%	17.53%	18.10%	18.01%	15.38%	15.13%	13.59%	13.91%		16.47%	17.40%
Net Profit Margin	12.93%	13.82%	14.38%	14.31%	14.32%	13.17%	10.89%	10.71%	9.47%	9.73%		12.37%	13.05%
SalesExpenses % Sales	17.60%	16.69%	15.54%	15.83%	15.86%	15.08%	14.11%	16.04%	16.60%	19.28%		16.26%	15.95%
Depreciation %Sales	1.88%	2.10%	2.08%	2.54%	2.51%	2.32%	2.70%	3.22%	3.55%	3.55%		2.64%	2.52%
Operating Income % Sales	17.98%	18.85%	18.35%	18.10%	18.42%	18.36%	16.06%	16.13%	14.89%	15.02%		17.22%	18.04%
Return on Capital Employed	23.51%	21.90%	24.68%	22.05%	21.55%	21.24%	18.25%	17.81%	15.92%	15.59%		20.25%	21.40%
Retained Earnings%	59.74%	0.00%	60.33%	57.34%	38.71%	35.90%	26.64%	26.66%	0.00%	0.00%		30.53%	31.28%
Return on Equity%	20.31%	18.70%	21.74%	18.81%	17.87%	17.11%	14.00%	13.47%	11.02%	11.24%		16.43%	17.49%
Self Sustained Growth Rate	12.13%	0.00%	13.12%	10.79%	6.92%	6.14%	3.73%	3.59%	0.00%	0.00%		5.64%	4.94%
Interest Coverage Ratio	25.33x	27.43x	26.23x	31.73x	57.17x	51.79x	23.66x	16.11x	11.44x	13.63x		28.45x	25.78x
Debtor Turnover Ratio	11.71x	10.94x	10.22x	10.67x	17.03x	16.85x	13.58x	13.80x	14.14x	18.44x		13.74x	13.69x
Creditor Turnover Ratio	3.99x	3.75x	4.04x	3.93x	3.59x	3.79x	3.29x	3.19x	2.81x	2.76x		3.52x	3.67x
Inventory Turnover	6.88x	6.15x	6.55x	6.30x	5.51x	5.70x	5.70x	6.37x	5.46x	5.68x		6.03x	5.92x
Fixed Asset Turnover	3.89x	3.81x	4.32x	3.86x	4.26x	4.72x	3.22x	3.25x	3.15x	3.35x		3.78x	3.83x
Capital Turnover Ratio	1.57x	1.35x	1.51x	1.31x	1.25x	1.30x	1.28x	1.26x	1.16x	1.16x		1.32x	1.29x
Debtor Days	31	33	36	34	21	22	27	26	26	20		28	27
Payable Days	92	97	90	93	102	96	111	114	130	132		106	99
Inventory Days	53	59	56	58	66	64	64	57	67	64		61	62
Cash Conversion Cycle (in days)	-7	-5	1	-1	-14	-11	-20	-31	-37	-48		-17	-12
CFO/Sales	17.27%	10.75%	17.39%	17.92%	26.19%	15.67%	11.52%	17.05%	15.72%	22.05%		17.15%	17.16%
CFO/Total Assets	17.01%	9.54%	17.55%	16.67%	23.11%	13.89%	9.73%	13.99%	12.17%	16.64%		15.03%	15.32%
CFO/Total Debt	134.87%	88.52%	211.76%	298.09%	491.89%	165.61%	113.14%	154.93%	207.81%	225.97%		209.26%	186.71%

Common Size Statement - DABUR INDIA LTD

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Sales	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Raw Material Cost	34.93%	35.94%	36.03%	36.14%	39.37%	37.99%	41.30%	38.01%	38.56%	52.35%
Change in Inventory	0.30%	0.85%	-0.15%	0.75%	2.17%	0.08%	0.79%	-0.39%	0.45%	0.62%
Power and Fuel	1.15%	1.22%	1.24%	1.23%	1.09%	1.18%	1.31%	1.24%	1.24%	0.00%
Other Mfr. Exp	16.38%	15.79%	15.59%	15.98%	14.09%	15.21%	15.44%	14.97%	15.34%	0.00%
Employee Cost	10.38%	10.27%	11.02%	10.93%	10.82%	9.93%	9.87%	10.01%	10.29%	10.43%
Selling and admin	15.25%	14.70%	13.90%	14.10%	14.52%	13.60%	12.38%	14.73%	15.10%	6.73%
Other Expenses	2.35%	1.99%	1.64%	1.73%	1.34%	1.48%	1.74%	1.31%	1.50%	12.55%
Other Income	3.89%	3.77%	2.60%	2.36%	3.40%	2.83%	3.86%	3.89%	4.38%	4.43%
Depreciation	1.88%	2.10%	2.08%	2.54%	2.51%	2.32%	2.70%	3.22%	3.55%	3.55%
Interest	0.71%	0.69%	0.70%	0.57%	0.32%	0.35%	0.68%	1.00%	1.30%	1.10%
Profit before tax	21.15%	21.93%	20.26%	19.89%	21.50%	20.84%	19.24%	19.02%	17.97%	18.35%
Tax	4.34%	4.34%	3.27%	3.22%	3.78%	4.83%	4.49%	4.41%	4.12%	4.18%
Net profit	16.77%	17.54%	16.94%	16.64%	17.71%	15.97%	14.81%	14.86%	14.07%	14.36%
Dividend Amount	5.21%	14.26%	5.70%	6.10%	8.78%	8.44%	7.99%	7.86%	11.29%	11.09%
EBITDA	23.70%	24.67%	22.99%	22.97%	24.32%	23.48%	22.67%	23.49%	23.04%	23.20%

Common Size Balance Sheet - DABUR INDIA LTD

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Total Liabilities	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Equity Share Capital	2.28%	2.02%	2.09%	1.89%	1.63%	1.44%	1.30%	1.17%	1.09%	1.01%
Reserves	60.41%	63.56%	64.66%	68.86%	69.11%	66.79%	64.43%	64.10%	65.46%	64.31%
Borrowings	12.61%	10.77%	8.29%	5.59%	4.70%	8.39%	8.60%	9.03%	5.86%	7.36%
Other Liabilities	24.70%	23.65%	24.96%	23.66%	24.56%	23.38%	25.68%	25.70%	27.60%	27.31%
Total Assets	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Net Block	25.33%	23.31%	23.34%	24.13%	20.70%	18.79%	26.21%	25.24%	24.58%	22.53%
Capital Work in Progr	0.54%	0.48%	0.76%	1.57%	1.36%	1.36%	1.28%	1.54%	1.04%	0.79%
Investments	41.90%	43.73%	39.81%	29.99%	38.40%	50.63%	45.89%	45.86%	46.01%	51.19%
Other Assets	5.56%	6.42%	6.91%	12.13%	6.08%	3.75%	3.18%	4.13%	5.15%	4.90%
Receivables	8.41%	8.11%	9.88%	8.72%	5.18%	5.26%	6.22%	5.95%	5.47%	4.09%
Inventory	14.31%	14.44%	15.42%	14.78%	16.01%	15.56%	14.83%	12.88%	14.17%	13.28%
Cash & Bank	3.94%	3.52%	3.89%	8.69%	12.27%	4.64%	2.39%	4.41%	3.56%	3.22%

Weighted Average Cost of Capital

All figures are in INR unless stated otherwise.

Peer Comps

Name of the Comp	Country	Total Deb	Total Equity	Tax Rate	Debt /	Debt /	Levered	Unlevered
					¹ Equity	Capital	Beta ²	Beta ³
Dabur India	India	1,287.3	74,559.2	30.00%	1.73%	1.70%	0.88	0.87
Hind. Unilever	India	1,478.0	5,06,677.6	30.00%	0.29%	0.29%	0.57	0.57
ITC	India	2,399.1	3,64,294.3	30.00%	0.66%	0.65%	0.54	0.54
Nestle India	India	444.2	2,69,443.4	30.00%	0.16%	0.16%	0.59	0.59
Godrej Consumer	India	4,415.8	1,04,913.3	30.00%	4.21%	4.04%	0.73	0.71
Average				30.00%	1.41%	1.37%	0.66	0.66
Median				30.00%	0.66%	0.65%	0.59	0.59

Cost of Debt

Cost of Debt		Cost of Equity	
Pre-Tax Cost of Debt	11.26%	Risk Free Rate	6.77%
Tax Rate	30.00%	Equity Risk Premium	8.38%
Post Tax Cost of Debt	7.88%	Levered Beta ⁴	0.59
		Cost of Equity	11.75%

Capital Structure

				Levered Beta
		Current	Target	
Total Debt	1,287.3	1.70%	1.37%	Comps Median Unlevered Beta 0.59
Market Capitalisation	74,559.2	98.30%	98.63%	Target Debt / Equity 1.39%
Total Capital	75,846.5	100.00%	100.00%	Tax Rate 30%
				Levered Beta 0.59

Debt / Equity	1.73%	1.39%
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Weighted Average Cost of Capital

Notes:

- 1. Tax Rate considered as Marginal Tax Rate for the country.
- 2. Levered Beta is based on 5 years monthly data.
- 3. Unlevered Beta = Levered Beta/(1+(1-Tax Rate)*Debt/Equity)
- 4. Levered Beta = Unlevered Beta/(1+(1-Tax Rate)*Debt/Equity)

	Total Cost	Total Weight
Debt	7.88%	1.37%
Equity	11.75%	98.63%
WACC		11.69%

Calculation of ROIC	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Current Assets					
Inventories	1,911.0	2,024.0	1,947.0	2,300.0	2,322.0
Trade receivables	646.0	849.0	899.0	888.0	715.0
Loans n Advances	128.0	138.0	147.0	101.0	216.0
Other asset items	1,005.0	520.0	314.0	333.0	408.0
Total Current Assets	3,690.0	3,531.0	3,307.0	3,622.0	3,661.0
Current Liabilities					
Trade Payables	2,018.0	2,187.0	2,422.0	2,825.0	2,954.0
Advance from Customers	37.0	9.0	33.0	28.0	-
Other liability items	777.0	842.0	994.0	1,216.0	1,436.0
Total Current Liabilities	2,832.0	3,038.0	3,449.0	4,069.0	4,390.0
Net Working Capital	858	493	-142	-447	-729
Non-Current Assets					
Land	123.0	141.0	145.0	180.0	-
Building	1,144.0	1,279.0	1,513.0	1,644.0	-
Plant Machinery	2,074.0	2,408.0	2,775.0	3,086.0	-
Equipments	78.0	88.0	93.0	93.0	-
Furniture n fittings	134.0	148.0	159.0	173.0	-
Vehicles	47.0	43.0	44.0	56.0	-
Intangible Assets	291.0	1,322.0	1,321.0	1,321.0	1,056.0
Other fixed assets	149.0	154.0	164.0	202.0	-
Gross Block	4,040.0	5,583.0	6,214.0	6,755.0	1,056.0
Accumulated Depreciation	(1,733.0)	(2,004.0)	(2,400.0)	(2,766.0)	-
Net Non-Current Assets	2,307.0	3,579.0	3,814.0	3,989.0	3,939.0
Invested Capital	3,165.0	4,072.0	3,672.0	3,542.0	3,210.0
EBIT	1,999.1	1,851.5	2,000.5	1,870.7	1,981.1
ROIC	63.16%	45.47%	54.48%	52.82%	61.72%

Calculation of Reinvestment Rate	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Capex	369.0	486.0	561.0	540.0	399.0
Change in Working Capital		(365.0)	(635.0)	(305.0)	(282.0)
EBIT	1,999.1	1,851.5	2,000.5	1,870.7	1,981.1
Marginal Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%
EBIT (1-T)	2,665.5	2,468.7	2,667.3	2,494.3	2,641.5
Reinvestment		121.0	(74.0)	235.0	117.0
Reinvestment Rate		4.90%	-2.77%	9.42%	4.43%

4 Year Average 3.99%
4 Year Median 4.67%

Calculation of Growth Rate	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Reinvestment Rate		4.90%	-2.77%	9.42%	4.43%
ROIC		45.47%	54.48%	52.82%	61.72%
Intrinsic Growth		10.78%	-5.09%	17.84%	7.18%

4 Year Average 7.68%
4 Year Median 8.98%

Calculation of PV of FCFF	Mar-26A	Mar-27F	Mar-28F	Mar-29F	Mar-30F	Mar-31F
EBIT	2,592.17	2,824.90	3,078.52	3,354.91	3,656.12	3,984.37
Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
EBIT(1-T)	1,944.13	2,118.67	2,308.89	2,516.19	2,742.09	2,988.28
Less: Reinvestment Rate	4.67%	4.67%	4.67%	4.67%	4.67%	4.67%
Free Cash Flow to Firm (FCFF)	1,853.43	2019.83	2201.173	2398.796	2614.163	2848.866
Mid Year Convention		0.5	1.5	2.5	3.5	4.5
Discounting Factor		0.946	0.847	0.758	0.679	0.608
PV of FCFF		1911.167	1864.684	1819.332	1775.084	1731.911

Expected Growth	8.98%
Terminal Growth	5.75%
WACC	11.69%

Calculation of Terminal Value	
FCFF(n+1)	3012.675
WACC	11.69%
Terminal Growth	5.75%
Terminal Value	50678.41

Calculation of Equity Value	
PV of FCFF	9102.178
PV of Terminal Value	30808.93
Enterprise Value	39911.1
Add: Cash	562.07
Less: Debt	1063
Value of Equity	39410.17
No. of Shares	177.40
Equity Value per share	222.16

Share Price	424
Discount/Premium	1.91x
Recommendation	Overvalued

Discounted Cash Flow (DCF) Valuation

The intrinsic value of Dabur India Ltd. has been estimated using the **Discounted Cash Flow (DCF)** approach based on the **Free Cash Flow to Firm (FCFF)** methodology. Future cash flows have been projected over the explicit forecast period and discounted using the Company's **Weighted Average Cost of Capital (WACC)** of **11.69%**, representing the blended opportunity cost of debt and equity financing.

A terminal growth rate of 5.75% has been assumed to estimate the continuing value of the business beyond the forecast horizon, reflecting the Company's mature market position, strong brand portfolio, and long-term growth prospects within the Indian FMCG industry. A big part of Dabur's intrinsic value is its ability to generate stable and sustainable cash flows over the long term, reflecting the strength of its asset-light business model, resilient operating margins and predictable earnings profile, the model suggests. Overall, the valuation indicates that Dabur has the ability to create strong long-term value, with a strong competitive position in the consumer goods space, disciplined capital allocation and good free cash flow generation.

DuPont Analysis

ROE has declined from 19.20% in Mar-21 to 11.56% in Mar-26, primarily due to a drop in Net Profit Margin from 14.32% to 9.47% amid rising costs from raw material inflation, a weak urban consumption environment, and increasing interest and depreciation charges. There are signs of stabilisation with a slight recovery to 9.73% in Mar-26, but margins remain below FY21 levels. The Asset Turnover Ratio fell from 0.95x to 0.78x, indicating a faster increase in the asset base than in revenues, which negatively affected capital efficiency. The Equity Multiplier rose mildly from 1.41x to around 1.52x-1.53x starting in Mar-24, reflecting increased leverage from higher borrowings. However, this was not enough to prevent a nearly 8-percentage-point decline in ROE over 5 years.

Return on Equity (ROE)						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit	1,369.7	1,434.1	1,255.9	1,328.9	1,189.8	1,284.0
Average Shareholder Equity	7,134.6	8,022.4	8,677.3	9,419.8	10,333.5	11,110.1
Return on Equity (ROE)	19.20%	17.88%	14.47%	14.11%	11.51%	11.56%

ROE — DuPont Equation						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit	1,369.7	1,434.1	1,255.9	1,328.9	1,189.8	1,284.0
Revenue	9,561.7	10,888.7	11,529.9	12,404.0	12,563.1	13,192.6
Net Profit Margin (A)	14.32%	13.17%	10.89%	10.71%	9.47%	9.73%
Revenue	9,561.7	10,888.7	11,529.9	12,404.0	12,563.1	13,192.6
Average Total Assets	10,084.9	11,558.5	12,968.1	14,384.3	15,673.1	16,854.8
Asset Turnover Ratio (B)	0.95x	0.94x	0.89x	0.86x	0.80x	0.78x
Average Total Assets	10,084.9	11,558.5	12,968.1	14,384.3	15,673.1	16,854.8
Average Shareholder Equity	7,134.6	8,022.4	8,677.3	9,419.8	10,333.5	11,110.1
Equity Multiplier (C)	1.41x	1.44x	1.49x	1.53x	1.52x	1.52x
Return on Equity (A×B×C)	19.20%	17.88%	14.47%	14.11%	11.51%	11.56%

Return on Assets (ROA)						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit	1,369.7	1,434.1	1,255.9	1,328.9	1,189.8	1,284.0
Average Total Assets	10,084.9	11,558.5	12,968.1	14,384.3	15,673.1	16,854.8
Return on Assets (ROA)	13.58%	12.41%	9.68%	9.24%	7.59%	7.62%

ROA — DuPont Equation						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit	1,369.7	1,434.1	1,255.9	1,328.9	1,189.8	1,284.0
Revenue	9,561.7	10,888.7	11,529.9	12,404.0	12,563.1	13,192.6
Net Profit Margin (A)	14.32%	13.17%	10.89%	10.71%	9.47%	9.73%
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Asset Turnover Ratio (B)	0.95x	0.94x	0.89x	0.86x	0.80x	0.78x
Return on Assets (A×B)	13.58%	12.41%	9.68%	9.24%	7.59%	7.62%

DABUR INDIA LTD | Altman's Z-Score Analysis | Consolidated Figures in INR Crores

Working Capital / Total Assets						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Working Capital	964.3	255.2	-306.4	-372.9	-712.1	-1,174.0
Total Assets	10,833.2	12,283.9	13,652.3	15,116.4	16,229.8	17,479.9
Working Capital / Total Assets (A)	8.90%	2.08%	-2.24%	-2.47%	-4.39%	-6.72%

Retained Earnings / Total Assets						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Retained Earnings (Reserves)	7,486.8	8,204.5	8,796.1	9,689.1	10,623.5	11,242.2
Total Assets	10,833.2	12,283.9	13,652.3	15,116.4	16,229.8	17,479.9
Retained Earnings / Total Assets (B)	69.11%	66.79%	64.43%	64.10%	65.46%	64.31%

EBIT / Total Assets						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
EBIT (EBT + Interest)	1,761.5	1,999.1	1,851.5	2,000.5	1,870.7	1,981.1
Total Assets	10,833.2	12,283.9	13,652.3	15,116.4	16,229.8	17,479.9
EBIT / Total Assets (C)	16.26%	16.27%	13.56%	13.23%	11.53%	11.33%

Market Cap / Long Term Liability						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Market Cap	95,528.0	94,794.8	96,545.4	92,702.2	89,767.0	72,801.5
Long Term Liability (Borrowings)	509.1	1,030.1	1,173.8	1,365.1	950.4	1,287.3
Market Cap / Long Term Liability (D)	18,765.6%	9,202.5%	8,225.1%	6,790.9%	9,445.5%	5,655.3%

Sales / Total Assets						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Sales	9,561.7	10,888.7	11,529.9	12,404.0	12,563.1	13,192.6
Total Assets	10,833.2	12,283.9	13,652.3	15,116.4	16,229.8	17,479.9
Sales / Total Assets (E)	88.26%	88.64%	84.45%	82.06%	77.41%	75.47%

Altman's Z-Score						
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Final Score	115.1	57.6	51.5	42.9	58.7	35.9
Financial Stability	Strong	Strong	Strong	Strong	Strong	Strong

Altman's Z-Score Analysis

Dabur India's Altman Z-Score remains in the Strong zone from Mar-21 to Mar-26, indicating solid financial stability with minimal risk of distress. The high scores reflect its low long-term borrowings relative to market capitalization. However, the score declined from 115.1 in Mar-21 to 35.9 in Mar-26 due to an increase in borrowings from ₹509 crore to ₹1,287 crore and a decrease in stock price. The WC/TA ratio turned negative in Mar-23 as current liabilities surpassed current assets, which is typical for large FMCG companies. The EBIT/TA ratio also decreased from 16.26% to 11.33%, aligning with findings from the DuPont analysis. Overall, Dabur's balance sheet remains strong, capable of weathering short-term earnings stress despite a drop in operating profitability.

Conclusion

The analysis presented in this report indicates that Dabur India, while recognised as a well-managed enterprise, is presently overvalued. The company's revenue growth has experienced a significant decline, with projections estimating a mere 5% growth for the fiscal year ending in March 2023, a notable decrease from the previous annualised growth rates of 10% to 14% for the fiscal years ending in March 2021 and March 2022. Furthermore, profit margins have diminished markedly, with gross profit margins falling from 20.9% in FY 2021 to approximately 18.6% in FY 2026, alongside a decline in net profit margins from 14.3% to 9.7%.

The return on equity (ROE) for Dabur has decreased to 11.56%, primarily due to the concurrent deterioration in profit margins and asset turnover. The Altman Z-score, which measures balance sheet robustness, remains consistent and reassuring, surpassing the distress threshold; however, it has declined due to a substantial increase in borrowings and a corresponding reduction in equity value per share.

A discounted cash flow (DCF) analysis utilising a weighted average cost of capital (WACC) of 11.69% and a terminal growth rate of 5.75% yields an intrinsic value per share of ₹222.16. This figure is substantially lower than the current market price of ₹424, indicating that the stock trades at 1.91 times its calculated intrinsic value.

In summary, despite Dabur's commendable governance, diverse product range, and international growth potential, the stock's current valuation lacks justification based on fundamental analysis. Therefore, it is advisable for current shareholders to consider selling their holdings or reducing exposure. Additionally, potential investors should await a more favourable entry point, particularly in the ₹220-₹250 range, as indicated by the intrinsic value calculations.